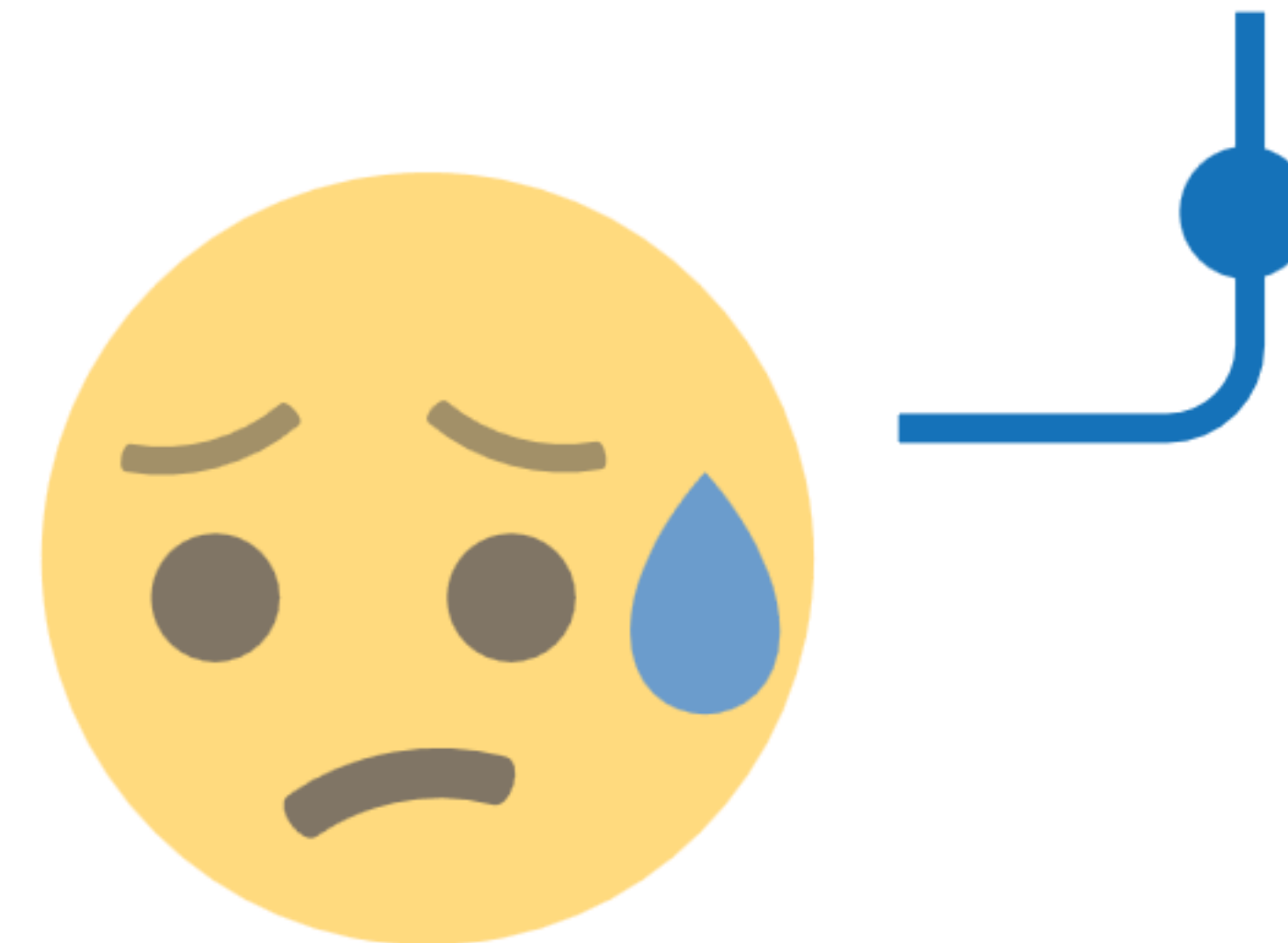


Practical Tip: During the growth phase of a business when almost everyone is working more than 100%, it is advisable to choose a flexible model. During a steady state of business, when there are wide and visible differences in individual performance, it is advisable to use a fixed model with a bell curve. However you need to be careful whether you pay an increment as a fixed amount or a percentage of their salary.

Amount or Percentage

There is another consideration, you must know as an HR expert. Should you increase the salary by a fixed amount or a percentage? Let us understand it with an example:

30,000 + 50,000
or 30,000 + 10%??



Suppose, you have only two employees, Manu and Tanu.



Manu

Manu has a salary
of INR 10,000
Performance "A"



Tanu

Tanu has a salary of
INR 200,000.
Performance "A"

The budget for increment is 10% of the total salary INR 210,000 (INR 10,000 + INR 200,000) i.e. INR 21000.

You may take two approaches for salary increment